



Delhi School of Management
Delhi Technological University

MBA 107:
Marketing Management
(4 Credits)

Course Instructor:
Dr Yogesh Sharma
Ph.D. (Management-Marketing),
MBA (IB), BBS (Marketing)



Shot on OnePlus
By Kuntal

Readings

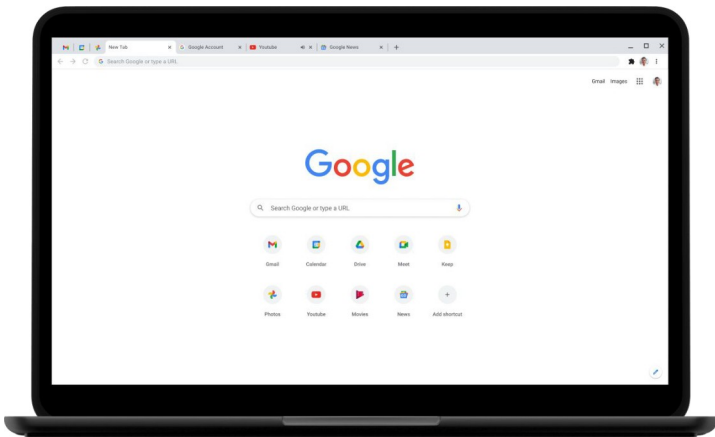
- Etzel, M. J., Bruce, J., W., 2010. Marketing (14th ed.), Tata McGraw-Hill.
- Kotler, P., Keller, K., Koshy, L., & Jha, M. 2009. Marketing Management: A South Asian Perspective (13th ed.). Pearson.
- Perrault. W.D (Jr.), Cannon, J.P., 2010. Basic Marketing, Tata McGraw-Hill.
- Ramaswamy, V. S., & Nama Kumari, S. 2009. Marketing Management: Global Perspective Indian Context (4th ed.). Macmillan.
- Saxena, R., 2009. Marketing Management (4th ed.). Tata McGraw Hill

Unit 1: Introduction to Marketing Function

Story

Two girls walk into their local café coffee day outlet, which happens to be in Delhi. One goes to the counter and purchases two coffees and some pastries. The other sits at a table and opens her Lenovo think pad R60 notebook computer. Within a few seconds, she connects to the internet using Airtel's data card. Once on the net, the girl "Googles" the name of the Band that played the soundtrack of the movie she saw yesterday. A number of websites come up along with ads. One of the ads was for the soundtrack CD and movie DVD. When she clicks through to the ad, the search engine giant Google rings up some money. Now her friend has returned with the coffee and the pastries. She's eager to show off her parents' gift to her on her birthday: a maroon MOTORAZR cell phone created by a team of young companies designers after months of market research and consumer tests. The two girls are admiring the slender phone when it receives a text message. Announcing the availability of the latest ringtones that can be downloaded on the phone. They turn to the laptop and get connected to youtube.com to learn about popular music and movies.

Question:- How many brands can you recall?



Questions

- Why is marketing important?
- What is the scope of marketing?
- What are some of the fundamental marketing concepts?
- How has marketing management changed?
- What are the tasks necessary for successful marketing management?

What is Marketing?

“Marketing is the process of creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large.”

— **American Marketing Association (AMA)**

1. **Creating** – Designing a product/service that solves a problem or fulfills a need.
2. **Communicating** – Promoting the product to make customers aware of its existence and value.
3. **Delivering** – Ensuring the product is available at the right time, place, and format.
4. **Exchanging** – Facilitating the transaction that allows customers to obtain the offering.

What is Marketing Management?

Marketing management is the
art and science
of choosing target markets
and getting, keeping, and growing
customers through
creating, delivering, and communicating
superior customer value.

For an exchange to occur.....

- There are at least two parties.
- Each party has something that might be of value to the other party.
- Each party is capable of communication and delivery.
- Each party is free to reject the exchange offer.
- Each party believes it is appropriate or desirable to deal with the other party.

What is Marketed?

- **Goods** - Cars, Trucks, TV, Tools, Machines, Watches, etc.
- **Services** – Airlines, Hotels, Car Rentals, Banks, Lawyers, etc.
- **Events** – Trade shows, artistic performances, Olympics, etc.
- **Experiences** – amusement parks, theme-based restaurants, etc.
- **Persons** – Artists, Musicians, CEOs, Social Media influencers, etc.
- **Places** – smart cities, silicon valley, tourism, etc.
- **Properties** – Real estate – private apartments and commercial office space.
- **Organizations** – WWF, UNESCO, WALMART, Philips, TATA, ITC.
- **Information** – Adding value to sell products by providing additional information (Steve Jobs launching iPhone).
- **Ideas** – Social Marketing (AIDS, Family Planning, discouraging smoking)

Demand States

- **Negative** – Dislike, may pay to avoid it.
- **Nonexistent** – unaware of the product.
- **Latent** – hidden need that cannot be satisfied by existing products.
- **Declining** – Buying products less frequently (masks after covid)
- **Irregular** – seasonal
- **Unwholesome** – attraction towards products having undesirable social consequences.
- **Full** – adequate selling of products in the market.
- **Overfull** – more demand than the availability of products.

Role of Marketing in Business

a) Identifying Customer Needs

Marketing helps in understanding:

- What customers want
- How they behave
- What problems they face
- What gaps exist in the market
- **Example:** Through market research, **Nike** identified a growing need for sustainable athletic wear and launched the “**Move to Zero**” campaign with eco-friendly products.

b) Developing Products/Services to Satisfy Those Needs

- Based on customer insights, companies design products or services that offer **real value**.

Example: Apple launched the iPhone based on the insight that customers wanted a device that combined a phone, camera, music player, and internet browser in one.

Role of Marketing in Business

c) Communicating the Value Proposition

- Marketing ensures that the target audience:
- Understands **what the product is**
- Sees **why it's valuable**
- Recognizes **how it is different from competitors**

Example: Dove's Real Beauty campaign communicated a strong emotional value proposition: redefining beauty standards and promoting body positivity.

d) Driving Revenue and Business Growth

- Ultimately, effective marketing results in:
- Increased sales
- Customer acquisition and retention
- Brand loyalty

Example: Amazon Prime uses personalized recommendations and seamless delivery as part of its marketing strategy, increasing customer lifetime value and driving massive revenue.

Key Customer Markets

- Consumer markets
- Business markets
- Global markets
- Nonprofit/Government markets

The marketplace isn't what it used to be....

- Changing technology
- Globalization
- Deregulation
- Privatization
- Empowerment
- Customization

Marketing Mix and the Customer

Four Ps

- Product
- Price
- Place
- Promotion



Four Cs

- Customer solution
- Customer cost
- Convenience
- Communication

Marketing Concepts

Core Concepts

- Needs, wants, and demands
- Target markets, positioning, segmentation
- Offerings and brands
- Value and satisfaction
- Marketing channels
- Supply chain
- Competition
- Marketing environment
- Marketing planning

I want it, I need it.....

5 Types of Needs

- **Stated needs** – Customer wants an inexpensive car
- **Real needs** – Customer wants a car with low operating cost
- **Unstated needs** – Customer expects good service
- **Delight needs** – Discount on the next service
- **Secret needs** – Customer wants to be recognized on the next visits

Marketing Management Tasks

- Developing marketing strategies
- Capturing marketing insights
- Connecting with customers
- Building strong brands
- Shaping market offerings
- Delivering value
- Communicating value
- Creating long-term growth

Genesis of Marketing and Marketing Philosophies

Stages in the Evolution of Marketing

Production Orientation	Late 1800's	Industrial Revolution Mass production Available & affordable
Product Orientation	Early 1900	Customers will favour quality, Performance and innovation
Sales Orientation	Early 1930's	Great Depression Problem not to produce but to sell High promotional activity
Marketing Orientation	Mid 1950's	End of World War II Huge pent up demand More demanding customers
Societal Orientation	1990's	Concern towards society and consumer

Production Orientation (Late 1800s – 1900s)

- Consumers will favor products that are **available** and **highly affordable**.
- Focus is on **mass production**, **low costs**, and **distribution efficiency**.
- “If we make it, they will buy it.”
- Companies believe that a good product sold at the right price will automatically sell itself.
- **Ford Motor Company (Model T):**
 - Henry Ford focused on mass-producing affordable cars using the assembly line technique.
 - “You can have any color as long as it is black” shows the focus was not on customer choice, but on efficiency.



Product Orientation (1900s – 1930s)

- Consumers will not buy enough of the firm's products unless there is **aggressive selling and promotion**.
- Focus on **persuading** customers to buy what the company makes.
- “Sell what we make” instead of “Make what we can sell.”
- **Insurance companies and used car dealers:**
 - Often rely heavily on personal selling, telemarketing, and promotional offers.
- **Coca-Cola in the 1940s:**
 - Focused on extensive advertising and creating a desire for the brand globally.

Marketing Myopia

- Concept given by Theodore Levitt
- He stated that Marketers suffer from Marketing Myopia.
- Many sellers make a mistake of paying more attention to the specific product they offer than to the benefits produced by these products.
- They see themselves as selling a product rather than providing a solution to a need.
- A manufacturer of drilling machine may think that a customer needs a drilling machine but what they actually need is a hole.
- These sellers suffer from marketing myopia.

Sales Orientation (1930s-1950s)

- ⦿ Based on assumption that consumers , if left alone will either not buy or not buy enough.
- ⦿ Organisation must therefore undertake aggressive sales techniques
- ⦿ Focus on product
- ⦿ Practiced with unsought goods like insurance



Market Orientation (1950s-present)



The marketing concept states that the social and economic justification for an organization's existence is the satisfaction of customer wants and needs while meeting organizational objectives.



The Marketing Concept

- ◆ Focuses on customer wants and needs to distinguish products from competition
- ◆ Integrates all organization's activities to satisfy customer wants and needs
- ◆ Achieves organization's long-term goals by satisfying customer wants and needs

The Marketing Concept

- ◆ The key to achieving organizational goals is being more effective than competitors at identifying and satisfying customer needs.
- ◆ Focus on Customer-centricity.
- ◆ “Customer is king.”
- ◆ Conduct market research, segment the market, and tailor products/services.
- ◆ Amazon Uses data to understand customer preferences and personalize experiences.

Sales vs. Market Orientations

	<i>Organization's Focus</i>	<i>Firm's Business</i>	<i>For Whom?</i>	<i>Primary Profit Goal?</i>	<i>Tools to Achieve</i>
<i>Sales Orientation</i>	Inward	Selling goods and services	Everybody	Maximum sales volume	Primarily promotion
<i>Market Orientation</i>	Outward	Satisfying wants and needs	Specific groups of people	Customer satisfaction	Coordinated use of all marketing activities

Societal Marketing (Recent Decades)

- Organizations must balance **company profits, customer satisfaction, and society's well-being.**
- Marketing should be **ethically and environmentally responsible.**
- “Do well by doing good.”
- **The Body Shop:**
 - Uses ethical sourcing and cruelty-free testing.

Societal Marketing Orientation

Marketing that preserves or enhances an individual's and **society's** long-term best interests



- ◆ Less toxic products
- ◆ More durable products
- ◆ Products with reusable or recyclable materials



Approaches to Marketing

Company Orientations

- **Production Concept** – Consumers will prefer products that are widely available. (Lenovo, Haier, Samsung)
- **Product** – Consumers prefer products that offer the most quality, performance, or innovative features (iPhone, MG Hector, Alexa).
- **Selling** – Sell more & more stuff to more people for more profits. Aggressively selling goods that normally consumers don't think of buying (encyclopedia).
- **Marketing** – Customer-centered “sense and respond”. Find the right product for your customer.

Product-Oriented Approach

- The product-oriented approach focuses primarily on the product itself. The belief is that customers will favor products that offer the best quality, performance, or features, so companies should concentrate on product innovation and improvement.

Key Features:

- Emphasis on product innovation and quality
- Minimal focus on customer preferences or feedback
- Assumes “good products will sell themselves”

Example:

- **Sony (early years):** Focused on engineering excellence. Products like the Walkman were launched based on internal innovation rather than market research.
- **Apple (partially):** Though Apple does consider user needs, its strategy often emphasizes product design, innovation, and user experience rather than direct customer input.

Sales-Oriented Approach

In this approach, companies believe that aggressive sales tactics and promotions are essential to persuade customers to buy. The focus is on pushing products to customers rather than understanding or fulfilling their needs.

Key Features:

- Short-term sales objectives
- Heavy use of advertising, promotions, and personal selling
- Often used when companies face excess inventory or stagnant demand

Example:

- **Insurance Companies:** Many life insurance companies employ a sales-oriented approach by relying on sales agents and telecallers to push policies.
- **Real Estate:** Builders often use aggressive sales promotions to sell properties before completion.

Market-Oriented Approach

This customer-centric approach focuses on identifying and meeting the needs and desires of customers through continuous market research, feedback, and engagement.

Key Features:

- Starts with understanding customer needs and behavior
- Product development is guided by customer input
- Strong focus on value creation and customer satisfaction

Example:

- **Amazon:** Uses data analytics and customer feedback to recommend products and personalize experiences.
- **Netflix:** Monitors viewing behavior to suggest content and create new shows based on user preferences.

Societal-Oriented Approach

This modern approach balances company profits, customer satisfaction, and societal well-being. It emphasizes ethical marketing, sustainability, and social responsibility.

Key Features:

- Long-term view of business success
- Aligns marketing with environmental and ethical concerns
- Focus on stakeholder (not just shareholder) value

Example:

- **The Body Shop:** Emphasizes cruelty-free, ethically sourced products, and environmental sustainability.
- **TOMS Shoes:** “One for One” model—donates a pair of shoes for every one sold, integrating social good into its marketing.

Customer Value

Customer Value



The ratio of the sacrifice
necessary to obtain those
benefits



Customer Value



- Customer Value is the **customer's perception of what they get** (benefits) **versus what they give up** (costs) when purchasing or using a product or service.
- It is a **subjective assessment**, which means it varies across individuals based on preferences, needs, income, social influence, and expectations.
- “Value is not what you put into a product, it's what the customer gets out of it.” – Peter Drucker



Customer Value

- **Formula**
- Customer Value = Perceived Benefits / Perceived Costs
- **Perceived Benefits:** Functional utility, quality, experience, brand prestige, convenience.
- **Perceived Costs:** Price paid, time, effort, emotional effort, risk.

Higher the perceived benefit and lower the perceived cost → Greater customer value.



Types of Customer Value

1. Functional Value

- This is the **practical or utilitarian benefit** derived from the product's performance, features, or quality.

Focus: Usefulness, efficiency, problem-solving.

Example:

- A **Dyson vacuum cleaner**: Customers value its suction power, filtration system, and cordless design.
- A **Tata Nano car** (India): Offers basic transportation at a low cost—fulfills a fundamental function.



Types of Customer Value

2. Emotional Value

- This refers to the **feelings or affective states** a product or brand evokes in a customer.
- **Focus:** Pleasure, excitement, nostalgia, pride, trust.
- **Example:**
 - **Apple iPhone:** Users feel a sense of pride, status, and emotional attachment to the brand.
 - **Ferrero Rocher Chocolates:** Associated with celebration, luxury, and gifting joy.



Types of Customer Value

3. Social Value

- This arises when a product or brand helps the customer to **gain social approval or reinforce self-image** in society or peer groups.
- **Focus:** Status signaling, group acceptance, belonging.
- **Example:**
 - Wearing **Nike or Adidas shoes** among college students may signal athleticism or style.
 - **Tesla ownership:** Can signal environmental consciousness and technological sophistication.



Types of Customer Value

Product	Functional Value	Emotional Value	Social Value
Starbucks Coffee	High-quality brew, convenience	Comfort, indulgence	Seen as modern and trendy
Mercedes-Benz Car	Safety, engineering, reliability	Pride of ownership	Status symbol
Spotify Premium	Unlimited music access, offline mode	Joy, mood enhancement	Sharing playlists, musical taste identity



Customer Satisfaction and Delight

Customer Satisfaction

Customer Satisfaction is the **measure of how well a product or service meets or exceeds customer expectations.**

It is a **post-purchase evaluation** — the customer compares their expectations before purchase with the actual experience.

Formula

Satisfaction Level = Perceived Performance – Customer Expectations

- If Performance < Expectations → **Dissatisfaction**
- If Performance = Expectations → **Satisfaction**
- If Performance > Expectations → **Delight**



Customer Satisfaction

- **Example**
- A customer buys a laptop expecting it to last 5 hours on battery.
If it lasts **exactly 5 hours**, the customer is **satisfied**.
- If it lasts **only 3 hours**, the customer is **dissatisfied**.
- If it lasts **8 hours**, the customer is **delighted**.



Customer Satisfaction

- **Importance of Customer Satisfaction**
 - Increases **repeat purchases** and **customer retention**
 - Encourages **positive word-of-mouth**
 - Reduces **churn** and **complaints**
 - Enhances **brand reputation** and **long-term profitability**
 -
- **Measurement Tools**
 - **Customer Satisfaction Score (CSAT):** “How satisfied were you with the service?” (Rated 1–5 or 1–10)
 - **Net Promoter Score (NPS):** “How likely are you to recommend us?” (Promoters – Detractors)
 - **Customer Effort Score (CES):** “How easy was it to interact with our service?”



Customer Delight

- Customer Delight is achieved when a company **exceeds customer expectations** in a way that generates **emotional engagement and loyalty**.
- It goes **beyond satisfaction** by offering a “wow” experience that surprises the customer positively.

Example – Taj Hotels

- A guest casually mentioned a food allergy. The next day, the chef **customized meals** for the guest without them asking again.
Memorable service = delight.



Customer Satisfaction vs. Customer Delight

Feature	Satisfaction	Delight
Meets Expectations	Yes	Yes
Exceeds Expectations	Not always	Always
Emotional Response	Neutral	Positive
Loyalty Driver	Moderate	Strong
Word-of-mouth	Limited	High likelihood



Customer Delight

How to Create Customer Delight (Strategies)

- **Personalization** – Remember customer preferences (e.g., Amazon recommendations).
- **Surprise Upgrades** – Free samples, unexpected discounts, VIP treatment.
- **Excellent Support** – Quick, empathetic problem resolution (e.g., Apple Genius Bar).
- **Consistent Quality + Extra Effort** – Deliver reliably with thoughtful touches.



Customer Engagement

Customer Engagement

- Customer Engagement refers to the **emotional connection** and **active participation** a customer has with a brand through various touchpoints across their journey.
- It goes beyond transactions — focusing on **interaction**, **involvement**, and **value co-creation**.
- “Engaged customers are not just buying — they are interacting, sharing, advocating, and even helping shape the brand.”



Customer Engagement

Key Characteristics

- **Two-way interaction** (vs. one-way messaging)
- Based on **trust, relevance, and emotions**
- Happens **before, during, and after** purchase
- Leads to **loyalty, retention, and advocacy**



Customer Engagement

Why Customer Engagement Matters

- Engaged customers:
 - Are **5x more likely** to recommend the brand
 - Have **longer customer lifecycles**
 - Provide **valuable feedback**
 - Are **less price-sensitive**
- It increases **Customer Lifetime Value (CLV)** and reduces **customer acquisition costs**



Types of Customer Engagement

1. Cognitive Engagement

- Involves the customer's **attention and thought process**
- Example: Reading a whitepaper on mutual funds before choosing a financial product

2. Emotional Engagement

- Builds on feelings like **trust, happiness, or excitement**
- Example: A heartfelt brand story in an ad by Coca-Cola or Cadbury

3. Behavioral Engagement

- Visible actions customers take
- Example: Liking, sharing, commenting, writing reviews, joining loyalty programs



Strategies of Customer Engagement

- **Omni-Channel Experience**

- Seamless interaction across web, mobile, in-store, and social.
- Example: IKEA allows users to visualize furniture via AR on the app.

- **Personalization**

- Use customer data to tailor content and offers.
- Example: Netflix homepage customized for each user.

- **Gamification**

- Use points, badges, leaderboards to drive activity.
- Example: Duolingo streaks, Swiggy's "Level Up" program.

- **Content Marketing**

- Blogs, videos, stories that educate, entertain, or solve problems.
- Example: Red Bull's extreme sports videos.

- **Community Building**

- User forums, Facebook groups, product ambassadors.
- Example: Harley-Davidson H.O.G. (Harley Owners Group)



Customer Journey

Customer Journey

- The **Customer Journey** refers to the complete sequence of experiences a customer goes through when interacting with a brand — from **awareness** to **purchase** and **post-purchase** stages.
- It helps marketers visualize and understand how customers discover, consider, and choose a product or service, and how they behave after the sale.
- “It’s not just about the destination (purchase), but about every interaction and emotion along the way.”



Stages of Customer Journey

Stage	Customer Perspective	Marketing Objective	Example
1. Awareness	"I have a need/problem"	Grab attention	Facebook ad for budget travel
2. Consideration	"What are my options?"	Educate and nurture	Visiting airline websites
3. Decision	"Which is the best choice?"	Convert to buyer	Comparing price & reviews
4. Purchase	"I'm buying it now"	Ensure smooth transaction	One-click checkout on Amazon
5. Retention	"Is it still valuable?"	Re-engage, provide value	Follow-up emails, loyalty points
6. Advocacy	"I'll recommend it"	Turn into brand ambassador	Posting a 5-star review



Customer Journey

Touchpoints Along the Journey

A **touchpoint** is any interaction between the customer and the brand. These can be:

- **Pre-Purchase:** Ads, website, blog articles, influencers
- **During Purchase:** Product pages, checkout process, sales support
- **Post-Purchase:** Email follow-ups, customer service, packaging experience, return policy
- **Positive touchpoints** increase conversion and loyalty
Negative touchpoints create friction and drop-offs



Customer Journey Mapping

- Customer Journey Mapping is the process of **visually representing** each step a customer takes and how they feel during those steps.

Components of a Customer Journey Map

- **Stages** (awareness → purchase → loyalty)
- **Customer Goals** at each stage
- **Touchpoints & Channels** (e.g., email, phone, app)
- **Pain Points** and **Opportunities**
- **Emotions/Thoughts** during the experience



Customer Journey Mapping

Stage	Customer Goal	Touchpoint	Emotion	Opportunity
Consideration	Find best price	Website comparison tool	Confused	Provide price match
Purchase	Complete order	Mobile checkout	Frustrated by form	Auto-fill + fewer fields
Retention	Get support	Chatbot	Satisfied	Add knowledge base for FAQ



Customer Touch Points

Customer Touch Points

- A **Customer Touch Point** is any interaction or point of contact between a customer (or potential customer) and a brand **before, during, or after** a purchase.
- These interactions shape the customer's **perception, emotions, and experience** with the brand. Each touch point is a **moment of truth** that can positively or negatively impact the relationship.
- “Every touchpoint is a brand ambassador — it tells your customer what you stand for.”



Customer Touch Points

Why Touch Points Matter?

- Influence customer **decisions, loyalty, and advocacy**
- Help **identify friction points** and areas for **improvement**
- Provide opportunities for **engagement** and **personalization**
- Enhance the overall **Customer Experience (CX)**



Classification of Touch Points

- **1. Pre-Purchase Touch Points**
- Occurs **before** a customer makes a buying decision — focused on **awareness** and **consideration**.

Channel	Examples
Advertising	TV commercials, YouTube ads, print ads
Social Media	Instagram reels, brand tweets
Content Marketing	Blogs, webinars, infographics
Word of Mouth	Online reviews, testimonials
Influencer Endorsements	Sponsored YouTube or Instagram posts
SEO/SEM	Google search results, sponsored listings
Website	Homepage, product pages, FAQs



Classification of Touch Points

2. Purchase Touch Points

- These happen when the customer is **actively making a decision** and completing the transaction.

Channel	Examples
E-commerce Platform	Product details, checkout flow
In-store Staff	Salesperson assistance, demo
Mobile App	One-click ordering, mobile UI/UX
Payment Gateway	Ease of payment, options available
Customer Chat/Support	Live help during the decision phase



Classification of Touch Points

3. Post-Purchase Touch Points

- These are all interactions **after the sale** — critical for **retention**, **loyalty**, and **referrals**.

Channel	Examples
Onboarding Emails	Welcome message, setup instructions
Customer Service	Call center, email support, chatbots
Product Usage	Packaging, user manual, usability
Loyalty Programs	Points, rewards, discounts
Feedback Requests	Surveys, NPS questionnaires
Return Process	Exchange, refunds, policy experience
Community Engagement	User groups, forums, newsletters



Touch Point Optimization Strategies

- **Consistency Across Channels**

- Unified tone, visuals, and messages (Omnichannel marketing)

- **Personalization**

- Use data to tailor messages (e.g., “Hi Sarah, we noticed you looked at laptops...”)

- **Speed & Responsiveness**

- Quick loading websites, real-time support, fast delivery

- **Customer Feedback Loop**

- Improve weak touch points by listening to feedback (e.g., low app ratings)

- **Technology Integration**

- CRM, automation tools, chatbots, and AI to manage interactions effectively



Marketing Mix

Marketing Mix

- The **Marketing Mix** is a foundational model in marketing that outlines the key elements a company can control to influence consumer purchasing decisions and meet customer needs effectively.
- Originally introduced as the **4Ps** by E. Jerome McCarthy (1960), the model was later extended to the **7Ps** to accommodate the unique characteristics of services.
- “The marketing mix is the tactical toolkit for executing a marketing strategy.”



Marketing Mix

1. Product

- Refers to the **goods or services** offered to meet customer needs.

Decisions Involve:

- Design, features, quality
- Branding
- Packaging
- Product lifecycle (Introduction → Growth → Maturity → Decline)
- Variants (Basic, Augmented, Differentiated)

Examples:

- **Apple iPhone:** Sleek design, user-friendly interface, ecosystem integration.
- **Amul Butter:** Trusted brand with quality consistency.



Marketing Mix

2. Price

- The **amount the customer pays** to obtain the product or service.

Pricing Strategies:

- Cost-plus pricing
- Value-based pricing
- Penetration pricing (low to gain market share)
- Skimming pricing (high initial price)
- Psychological pricing (e.g., ₹99 instead of ₹100)

Examples:

- **Netflix:** Tiered subscription pricing.
- **Big Bazaar:** Discounts and combo offers for price-sensitive customers.



Marketing Mix

3. Place (Distribution)

- Refers to **how and where** the product is made available to the customer.

Channels Include:

- Direct (e.g., company website)
- Indirect (e.g., retailers, wholesalers)
- Online vs. Offline
- Intensive vs. Exclusive vs. Selective distribution

Examples:

- **Amazon:** Direct-to-customer e-commerce model.
- **Nike:** Sold via exclusive brand outlets and multi-brand retailers.



Marketing Mix

4. Promotion

- Covers all the methods used to **communicate the product** to the target audience and persuade them to buy.

Elements:

- Advertising (TV, print, digital)
- Sales promotions (coupons, contests)
- Public relations (press releases, CSR)
- Personal selling
- Direct marketing
- Influencer marketing

Examples:

- **Cadbury**: Emotional storytelling in advertisements during festivals.
- **Red Bull**: Sponsored extreme sports and viral videos.



Marketing Mix

5. People

- Refers to all human actors involved in service delivery — **employees, customer service staff**, and even **other customers**.

Importance:

- Employee attitude and skill affect service quality.
- Internal marketing (training, motivation) is key.

Examples:

- **Taj Hotels**: Highly trained staff for exceptional guest experiences.
- **McDonald's**: Standardized employee training for global consistency.



Marketing Mix

6. Process

- The **systems, procedures, and flows** that deliver the service or product to the customer.

Importance:

- Affects efficiency and customer satisfaction.
- Can be standardized or customized.

Examples:

- **Domino's Pizza:** 30-minute delivery process.
- **Uber:** Seamless booking and ride-tracking process.



Marketing Mix

7. Physical Evidence

- Tangible cues that help customers **evaluate an intangible service**.

Includes:

- Infrastructure (cleanliness, ambiance)
- Service brochures, uniforms, websites
- Receipts, feedback forms, decor

Examples:

- **ICICI Bank**: Physical branches with standardized interiors.
- **Starbucks**: Store aesthetics, logo, music, packaging.



Classification of Goods and Services

Classification of Goods and Services

Goods and services are the **core offerings** in any market. They are classified based on their **nature, use, buying behavior**, and **intangibility**.

- **Goods:** Tangible physical items that satisfy needs or wants.
- **Services:** Intangible activities or benefits offered for sale that **do not result in ownership**.



Classification of Goods and Services

Classification of Goods

1. Based on Durability and Tangibility

Type	Description	Examples
Durable Goods	Tangible items that last over multiple uses	Cars, TVs, Furniture
Non-Durable Goods	Tangible goods consumed in one or few uses	Food, Detergents, Medicines
Perishable Goods	Goods with a very short shelf life	Dairy, Fruits, Flowers



Classification of Goods and Services

Classification of Goods

2. Based on Consumer Buying Behavior

Type	Characteristics	Examples
Convenience Goods	Frequently bought, low involvement, low price	Toothpaste, Bread, Soap
Shopping Goods	Compared on quality, price, and style; more effort required	Clothes, Electronics, Furniture
Specialty Goods	Unique characteristics or brand identification; willing to make special purchase effort	Rolex watches, Luxury cars
Unsought Goods	Consumers don't think about or actively seek them; require aggressive promotion	Life insurance, Funeral services

Classification of Goods and Services

Classification of Goods

3. Based on Industrial Use

Type	Description	Examples
Raw Materials	Used in manufacturing	Cotton, Steel, Crude Oil
Capital Goods	Used to produce other goods	Machinery, Tools
Consumable Supplies	Aid operations but are not part of the final product	Office stationery, Lubricants

Classification of Goods and Services

Classification of Services

1. Based on Type of Service

Type	Description	Examples
Professional Services	Specialized skills and expertise	Legal, Accounting, Consultancy
Personal Services	Tailored for individual needs	Spa, Salon, Fitness Trainer
Public Services	Provided by government for welfare	Postal services, Public healthcare
Business Services	B2B-oriented	Cloud computing, IT support, Logistics

Classification of Goods and Services

Classification of Services

2. Based on Interaction and Delivery

Classification	Description	Examples
People-based Services	Require direct human interaction	Hotel check-in, Doctor consultation
Equipment-based Services	Delivered through machines or technology	ATMs, Online streaming, Car wash
Self-Service	Customer performs most of the service activity	Self-checkout, Online ticket booking

Classification of Goods and Services

Classification of Services

3. Based on Intangibility and Customization

Type	Intangibility	Customization	Example
Mass Services	High	Low	Airlines, Retail banks
Professional Services	High	High	Consulting, Legal advice
Service Shops	Moderate	Moderate	Salons, Auto repairs



Goods–Service Continuum

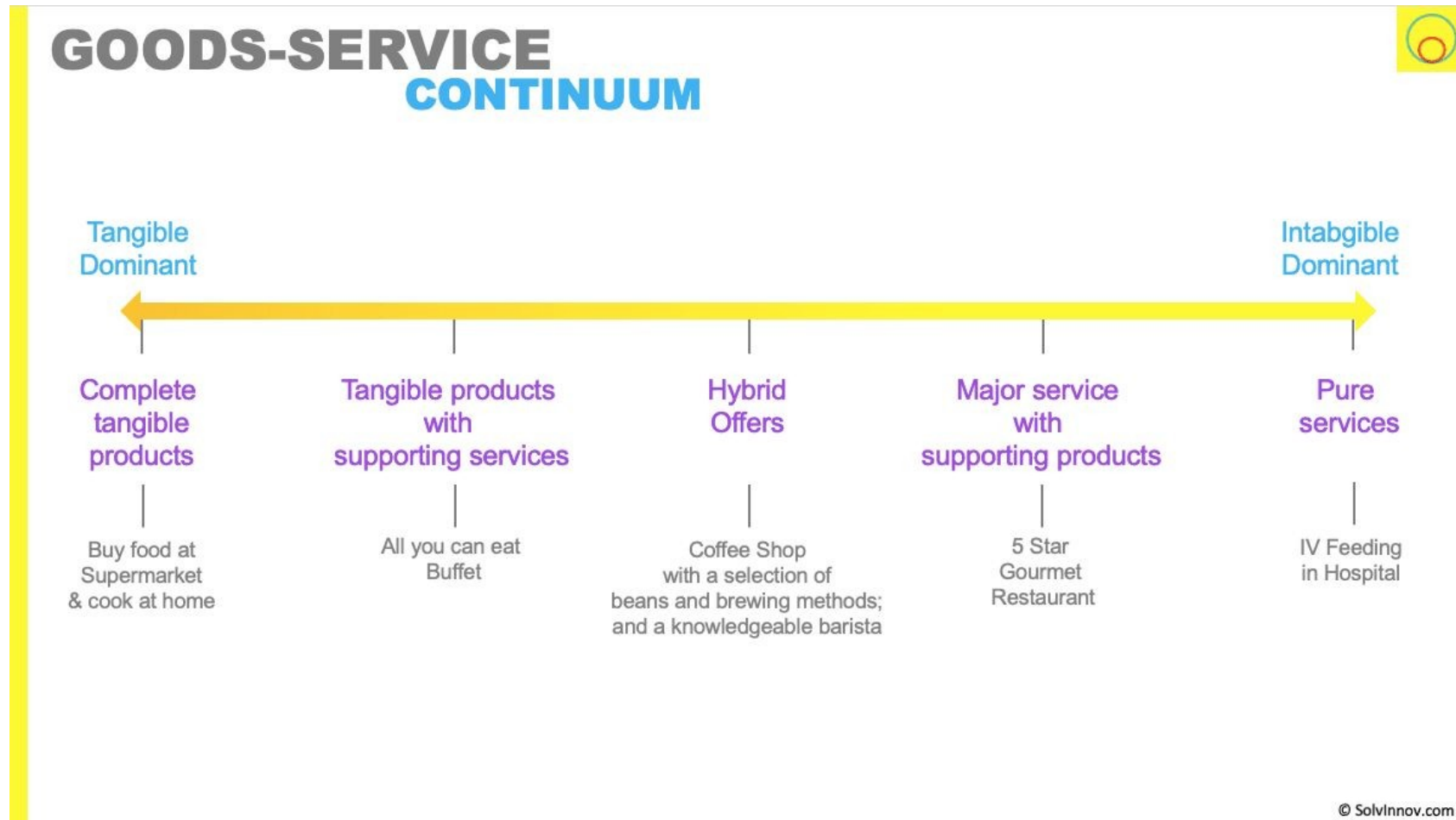
Goods–Service Continuum

The **Goods–Service Continuum** is a conceptual model that illustrates that **no product is purely a good or purely a service**, but rather falls somewhere on a spectrum between the two.

- Most market offerings are **hybrid products** that combine both tangible goods and intangible services.
- “Every product has a service element, and every service often requires some form of a tangible product.”



Goods–Service Continuum



Goods–Service Continuum

- **Pure Good:** Tangible, no associated service.
- **Pure Service:** Intangible, no physical product.
- **Hybrid:** Most real-world offerings combine both.

Pure Goods	Hybrid Offerings	Pure Services
Sugar, Salt, Soap	Restaurant, Mobile Phone + Warranty	Legal Advice, Education, Healthcare



Goods–Service Continuum

Offering	Classification	Tangible Component	Intangible Component
Soap Bar	Pure Good	Bar of soap	None
Car Purchase + Warranty	Hybrid	Car	Service plan, warranty
Restaurant	Balanced Hybrid	Food	Service, ambiance
Netflix Subscription	Service with minor tangible aspects	App Interface	Streaming service
Healthcare	Pure Service	Medical equipment (background)	Doctor consultation



Thank You